

MODEL QUESTION PAPER

Cost Accounting (Set – 1)

PART: A

Time : 3 Hour

Max.Marks : 75

I. Answer all the questions in one word or one sentence

(9 x 1 = 9 Marks)

1	----- refers to the technique and process of ascertaining cost.	M1.02	R
2	Cost accounts are concerned with ----- transactions.	M1.01	R
3	Office cost is also known as -----	M2.02	R
4	Amount realized from the sale of factory scrap may be deducted from -----.	M2.03	R
5	Name two industries where Process Costing is applied.	M3.01	R
6	Contract costing is also known as-----.	M3.05	R
7	Show the formula for calculating BEP in Units.	M4.02	R
8	----- budget is prepared for more than one levels of activity.	M4.07	R
9	Cost of sales is calculated by adding ----- to cost of goods sold.	M2.03	R

PART: B

II. Answer any *Eight* questions from the following. Each questions carries 3 marks

(8 x 3 = 24 marks)

1	Classify Cost according to Variability.	M1.03	U
2	Explain the meaning of Cost Centre.	M1.02	U
3	Explain the purpose of Cost Sheet.	M2.02	R
4	Draw a specimen of cost sheet with maximum possible break up of cost.	M2.03	R
5	Calculate Cost of Production from the following. Direct materials consumed 10000 Direct Labour 6000 Direct expenses 2000 Selling Over Heads 3000 Factory Over Heads 6000 Office Over Heads 2000	M2.03	U

6	Calculate cost of sales from the following details. Prime cost Rs.51000/-, Works overheads 20% on prime cost. Administrative overheads 10% on work cost. Selling overhead 5% on cost of production..	M2.03	U
7	Explain the features of Process Costing.	M3.01	U
8	Interpret the meaning of (i) Escalation Clause (ii) Cost Plus Contract	M3.05	U
9	Illustrate Marginal Cost Equation.	M4.01	U
10	Show any three objectives of Budgetary Control.	M4.06	U

PART: C

Answer all questions. Each question carries seven marks.

(6 x 7 = 42 Marks)

III	Compare Cost Accounting and Financial Accounting	M1.01	U
	OR		
IV	Summarize the advantages of Cost Accounting	M1.01	U
V	From the following information prepare a suitable statement for presentation before the Management of ABC Ltd. Raw materials consumed 80,000 Direct wages 60,000 Direct expenses 25,000 Factory over heads 45,000 Opening work in progress 8,000 Closing work in progress 6,000	M2.03	A
	OR		
VI	From the following particulars relating to production and sales for the year ended 31.12.2014 prepare a Statement of Cost Raw materials 2,80,000 Factory wages 2,70,000 Factory expenses 1,50,000 Administrative expenses 1,00,000 Total units produced 1000 units	M2.03	U

VII	In process A 100 units of raw materials were introduced at a cost of Rs 10 per unit. The expenses incurred by the process was Rs 602/-. For the units introduced 10% are normally lost in the course of manufacture and they possess a scrap value of Rs 3 each. The output of Process A is transferred to next process. Prepare Process A account.	M3.03	U																					
OR																								
VIII	In Process B 75 units of a commodity were transferred from Process A at a cost of Rs 1308. The additional expenses incurred by the process were Rs 192/-. 20% of the units entered are normally lost and sold @ Rs 4 per unit. The output of the process was 70 units. As a Cost Accountant help the management to solve the problem by preparing necessary accounts.	M3.04	A																					
IX	Make out the Process A account and Process B account from the following information <table><tr><td></td><td>Process A</td><td>Process B</td></tr><tr><td>Materials</td><td>30000</td><td>3000</td></tr><tr><td>Labour</td><td>10000</td><td>12000</td></tr><tr><td>Input (units)</td><td>20000</td><td>17500</td></tr><tr><td>Normal loss</td><td>10%</td><td>4%</td></tr><tr><td>Sale of scrap</td><td>Re.1/-</td><td>Rs.2/-</td></tr><tr><td>Output</td><td>--</td><td>17000 units</td></tr></table>		Process A	Process B	Materials	30000	3000	Labour	10000	12000	Input (units)	20000	17500	Normal loss	10%	4%	Sale of scrap	Re.1/-	Rs.2/-	Output	--	17000 units	M3.03	U
	Process A	Process B																						
Materials	30000	3000																						
Labour	10000	12000																						
Input (units)	20000	17500																						
Normal loss	10%	4%																						
Sale of scrap	Re.1/-	Rs.2/-																						
Output	--	17000 units																						
OR																								
X	A product passes through three processes. The following information is obtained :- <table><tr><td></td><td>Process 1</td><td>Process 2</td><td>Process 3</td></tr><tr><td>Direct material</td><td>2600</td><td>1980</td><td>2962</td></tr><tr><td>Direct wages</td><td>2000</td><td>3000</td><td>4000</td></tr></table> In addition to above, production overheads amounted to Rs 9000 which should be recovered in each process at 100% of direct wages. 1000 units @Rs 3/- each were introduced to Process 1. The output of each process---Process 1 – 950 units, Process 2-840 units and Process-3-750 units. In each process normal loss is determined as a percentage on the input of each process which is fixed as Process 1-5%, Process 2-10% and Process 3-15%. The scrap of each process realized as follows:-Process 1-Rs 2/-,Process 2-Rs 4/- ,Process 3-Rs 5/-. Apply Process costing principles and help the Management to solve the problem.		Process 1	Process 2	Process 3	Direct material	2600	1980	2962	Direct wages	2000	3000	4000	M3.03	A									
	Process 1	Process 2	Process 3																					
Direct material	2600	1980	2962																					
Direct wages	2000	3000	4000																					

XI	Find selling price per unit if BEP is to be brought down to 9000 units Variable cost Rs.75 Fixed Cost Rs.2,70,000 OR	M4.06	A
XII	A company sold in two successive periods 7000 units and 9000 units and has incurred a loss of Rs 10000/- and earned Rs 10000/- as profit respectively. Selling price per unit can be assumed at Rs 100/-. You are required to calculate :- 1. The amount of fixed cost 2. Number of units to Break Even 3. Number of units to earn a profit of Rs 40000/-	M4.06	U
XIII	Prepare a flexible budget at 80% and 100% activity on the basis of the following information:- Production at 50% capacity - 5000 units Raw materials - Rs 80 per unit Direct Labour - Rs 50 per unit Expenses -Rs 15 per unit Factory expenses -Rs 50000 (50% variable) Administrative expenses -Rs 60000 (60% variable) OR	M4.07	U
XIV	Explain the following terms:- 1.Margin of Safety 2.Break Even Chart	M4.03	U

Question wise Analysis
Course: COST ACCOUNTING SET 1

Qn.No.	Module Outcome	Cognitive Level	Marks	Time
I.1	M1.02	R	1	1Mts
I.2	M1.01	R	1	1Mts
I.3	M2.02	R	1	1Mts
I.4	M2.03	R	1	1Mts
I.5	M3.01	R	1	1Mts
I.6	M3.05	R	1	1Mts
I.7	M4.02	R	1	1Mts
I.8	M4.07	R	1	1Mts
I.9	M2.03	R	1	1Mts
II.1	M1.03	U	3	9 Mts
II.2	M1.02	U	3	9 Mts
II.3	M2.02	R	3	9 Mts
II.4	M2.03	R	3	9 Mts
II.5	M2.03	U	3	9 Mts
II.6	M2.03	U	3	9 Mts
II.7	M3.01	U	3	9 Mts
II.8	M3.05	U	3	9 Mts
II.9	M4.01	U	3	9 Mts
II.10	M4.06	U	3	9 Mts
III	M1.01	U	7	16.5Mts
IV	M1.01	U	7	16.5Mts
V	M2.03	A	7	16.5Mts
VI	M2.03	U	7	16.5Mts
VII	M3.03	U	7	16.5Mts
VIII	M3.04	A	7	16.5Mts
IX	M3.03	U	7	16.5Mts
X	M3.03	A	7	16.5Mts
XI	M4.06	A	7	16.5Mts
XII	M4.06	U	7	16.5Mts
XIII	M4.07	U	7	16.5Mts
XIV	M4.03	U	7	16.5Mts

Mark Distribution

Module	Hr/module	Marks/Module ($H_i/\sum H_i$)*123(±5%)	Type of Questions							
			Part A		Part B		Part C		Total	
			No. of questions	Marks	No. of questions	Marks	No. of questions	Marks	No. of questions	Marks
I	13	22	2	2	2	6	2	14	6	22
II	16	29	3	3	4	12	2	14	9	29
III	15	36	2	2	2	6	4	28	8	36
IV	16	36	2	2	2	6	4	28	8	36
Total	60	123	9	9	10	30	12	84	31	123

Blue Print

Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	15	12
Understanding	80	65
Applying	28	23
Analysing	--	--
Evaluating	--	--
Creating	--	--
TOTAL	123	100

SCHEME OF VALUATION (SCORING INDICATIONS)

Set I

	COURSE TITLE: 2. COST ACCOUNTING		Split up score	Sub total	Total
I	Part :A				
1)	Costing		1		
2)	Internal		1		
3)	Cost of Production		1		
4)	Factory overhead or factory cost		1		
5)	Textile industries and paper mills		1		
6)	Terminal costing		1		
7)	Total fixed expenses ÷ contribution per units		1		
8)	Flexible Budget		1		
9)	Selling and Distribution overhead		1		9
II	Part -B				
1)	<u>Classification of cost according to variability:</u>				
	i)Fixed cost		1		
	ii)variable cost		1		
	iii) Semi-variable cost		1	3	
2)	Cost Centre: ICMA London defines a cost centre as “allocation, person or item of equipment (or a group of these) for which cost may be ascertained and used for the purpose of cost control. In simple word it is a part of an enterprise to which cost can be charged.			3	
3)	<u>Purpose of cost sheet</u> i)It shows the cost per unit and total cost ii)It helps in fixing the selling price of products iii) it hels in the comparison of cost iv) It facilitate the process of cost control v) It facilitate preparation of tender price (Any Four points)		$\frac{3}{4}$ $\frac{3}{4}$ $\frac{3}{4}$ $\frac{3}{4}$	3	
4)	Specimen of cost sheet				
		Total cost Rs	Cost per unit Rs.		
	D. Materials	xxx	xx		
	D.Labour	xxx	xx		
	D.Expenses	xxx	xx		
	PRIME COST	xxxx	xxx		
	Add:Factory overheads	xxx	xx		
	FACTORY COST (WORKS COST)	xxxx	xxx		
	Add:Office and Administrative overheads	xxx	xx		
	COST OF PRODUCTION	xxxx	xxx	3	
	Add:Selling and Distribution overheads	xxx	xx		
	Total Cost (Cost of sales)	xxxx	xxx		
5)	Direct Material		10000		
	Direct Labour		6000		
	Direct Expenses		<u>2000</u>		

	PRIME COST Add:Factory overheads FACTORY COST Add:Office overheads COST OF PRODUCTION Add:Selling O/H TOTAL COST	18000 6000 24000 2000 26000 3000 29000	1 1 1	3	
6)	PRIME COST Work O/H 20% in PC WORKS COST Admn.O/Hs 10% on works cost Cost of production Selling O/Hs 5% on cop Cost of sales	51000 10200 61200 6120 67320 3366 70686	1 1 1	3	
7)	<u>Features of process costing</u> Production is continuous Productions are standardized and homogenous The finished product of the process becomes the raw materials of the subsequent process (Any three points)		1 1 1	3	
8)	<u>Escalation clause</u> : This is a clause in the contract to cover up any increase in the price of contract due to increase in the prices of raw materials or labour or change in the utilization of factors of production <u>Cost plus contract</u> : In this type of contract the contractor is paid the actual cost incurred plus a certain percentage of profit.		1 ½ 1 ½	3	
9)	<u>Marginal cost equation</u> Sales=variable cost + fixed cost $\pm$ profit or loss Sales – variable cost = fixed cost $\pm$ profit or loss Sales – variable cost = contribution Contribution = fixed cost + profit From the above equation, we can understand that in order to earn profit, the contribution must be more than the fixed cost. To avoid any loss the contribution must be equal to fixed cost			3	
10)	<u>Objectives of Budgetary control</u> : i)To coordinate the activities of different departments of an organization ii)To reduce uncertainties iii)To direct individuals and departments to achieve goals. (Any three points)		1 1 1	3	30
III	Part –C <u>Difference between financial accounting and cost accounting</u> <u>Financial Accounting</u> i)It deals with External transactions ii)It deals with actual facts and figures iii)It makes no distinction between controllable and uncontrollable or fixed and variable cost iv) Stock is valued at cost price or market v)They are kept as required by companies act, IT Act vi)It is a positive science vii) Independable of cost accounting viii)There is no wastages				

	ix)Reconciliation of results is not necessary.			1x7	7
	<u>COST ACCOUNTING</u>				
	i) It deals with internal transaction				
	ii)It deals partly with actual facts and figures and partly with estimates				
	iii)It makes clear distinction between controllable and uncontrollable or fixed and variable cost				
	iv)Stock is valued at cost price				
	v) The accounts are generally kept to meet the requirement of the management				
	vi)It is a positive as well as normative science				
	vii)It depends upon financial accounting				
	viii) There are normal and abnormal loss or wastages				
	ix)It needs reconciliation				
	(Any seven points only)				
IV	<u>Advantages of Cost accounting</u>				
	1)Profitable and unprofitable activities are disclosed				
	2)It reveals losses or inefficiencies occurring in any form				
	3) cost guides future production policies				
	4)It helps in controlling the cost with the application of standard costing and budgetary control				
	5) Costing information helps the management in taking decisions				
	6) It provides an independent and reliable check on the accuracy of the financial accounts with the help of reconciliation of the two.				
	7)Costing provides such information upon which estimates and tenders may be based			1x7	7
	8) Costing system helps the government, wages board and trade unions in providing data for price fixation, price control, wage fixation etc				
	(Any seven points only)				
V	Raw materials consumed	80000			
	Add: Direct wages	60000			
		140000			
	Add:Direct expenses	25000			
	PRIME COST	165000	2		
	Add: Factory overheads	45000			
		210000	2		
	Add: Opening work in progress	8000			
		218000			
	Less: Closing work in progress	6000			
	FACTORY COST	212000	3		7
VI	Raw materials	280000			
	Add: Factory wages	270000			
		550000	2		
	Add: Factory expenses	150000			
		700000	2		
	Add:Administrative expenses	100000			
		800000	3		7
VII	Process of Account				
	To input of 100 raw materials 1000	By normal loss 10 30			7
	In overhead 602	By transfer to process B 90 1572			

	expenses	100	1602	100	1602			
VIII	<u>Process B Account</u> Normal loss 15 Unit – Rs.60 Abnormal gain 10 unit- Rs.240 Transfer to next process 70 unit – Rs.1680 <u>Abnormal gain A/c</u> Normal loss 10 unit Rs.40 Process B Costing P&L - Rs.200 10 unit 240					5		
						2		7
IX	<u>Process A Account</u> Normal loss 2000 (unit)-Rs.2000 Abnormal loss 500 (unit)- Rs.1056 Transfer to process B 17500 (unit) – Rs.36944 <u>Process B Account</u> Abnormal gain 200 (unit) – Rs.602 Normal Loss 700 (unit) – Rs.1400 Transfer to next process 17000 (unit)- Rs.51146					3 ½		
								7
X	<u>Process I Account</u> Production overhead Rs.2000 Normal loss 50 (unit) – Rs.100 Transfer to next 950 (units)- Rs.9500 <u>Process II Account</u> Production overhead Rs.3000 Normal loss 95 (unit) – Rs.380 Abnormal loss 15 (unit) – Rs.300 Transfer to next process 840 (unit) – Rs.16800 <u>Process III Account</u> Production overhead Rs.4000 Abnormal gain 36 (unit) – Rs.1368 Normal loss 126(unit) – Rs.630 Transfer to finished stock 750 (unit) – Rs.28500					3 ½		
								7
XI	BEP = $\frac{\text{Fixed cost}}{\text{Selling price / unit} - \text{variable cost / unit}}$ 9000 = $\frac{2,70,000}{x - 75}$ 2,70,000 = 9000 x (x – 75) 2,70,000 = 9000 x – 675000 2,70,000 + 675000 = 9000x 9,45,000 = 9000x $x = \frac{945000}{9000} = \underline{\underline{\text{Rs.105}}}$					3		
						4		7
XII	Sales = 7000 units x Rs.100 = Rs.7,00,000 9000 units x Rs.100 = Rs.9,00,000 P/V ratio = $\frac{\text{change in profit}}{\text{change in sales}} \times 100$ = $\frac{20,000}{2,00,000} \times 100 = 10\%$							
1)	Fixed cost = (sales x P/V ratio) – profit					2		

	$=(900000 \times \frac{10}{100}) - 10000$ $= \underline{80000}$ 2) BEP (in Rs.) : $\frac{\text{Fixed cost}}{\text{P/V ratio}}$ $= \frac{80000}{10/100} = \text{Rs.} \underline{800000}$ 3) Number of units to earn a profit of Rs.40000/- $\frac{\text{Fixed cost} + \text{Desired profit}}{\text{P/V ratio}}$ $= \frac{80000 + 40000}{10/100}$ $= \text{Rs.} 12,00,000$ $\text{No. of units} = \frac{\text{Rs.} 12,00,000}{100}$ $= 12,000 \text{ units}$	2		7																																				
		3																																						
XIII	<table><tr><th></th><th>50% capacity (5000 unit)</th><th>80% capacity (8000 unit)</th><th>100% capacity (10000unit)</th></tr><tr><td>Raw materials (Rs.80/unit)</td><td>4,00,000</td><td>6,40,000</td><td>8,00,000</td></tr><tr><td>Labour (Rs.50/unit)</td><td>2,50,000</td><td>4,00,000</td><td>5,00,000</td></tr><tr><td>Expenses (Rs.15 unit)</td><td><u>75,000</u></td><td><u>1,20,000</u></td><td><u>1,50,000</u></td></tr><tr><td>PRIME COST</td><td>7,25,000</td><td>11,60,000</td><td>14,50,000</td></tr><tr><td>Factory expenses</td><td><u>50,000</u></td><td><u>65,000</u></td><td><u>75,000</u></td></tr><tr><td>Factory cost</td><td>7,75,000</td><td>12,25,000</td><td>15,25,000</td></tr><tr><td>Administrative expenses</td><td><u>60,000</u></td><td><u>81,600</u></td><td><u>96,000</u></td></tr><tr><td>Total cost</td><td>8,35,000</td><td>13,06,600</td><td>16,21,000</td></tr></table>		50% capacity (5000 unit)	80% capacity (8000 unit)	100% capacity (10000unit)	Raw materials (Rs.80/unit)	4,00,000	6,40,000	8,00,000	Labour (Rs.50/unit)	2,50,000	4,00,000	5,00,000	Expenses (Rs.15 unit)	<u>75,000</u>	<u>1,20,000</u>	<u>1,50,000</u>	PRIME COST	7,25,000	11,60,000	14,50,000	Factory expenses	<u>50,000</u>	<u>65,000</u>	<u>75,000</u>	Factory cost	7,75,000	12,25,000	15,25,000	Administrative expenses	<u>60,000</u>	<u>81,600</u>	<u>96,000</u>	Total cost	8,35,000	13,06,600	16,21,000	3	2	7
	50% capacity (5000 unit)	80% capacity (8000 unit)	100% capacity (10000unit)																																					
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Total cost	8,35,000	13,06,600	16,21,000																																					
XIV	<u>Margin of safety:</u> It is the difference between the actual sales and the sales at break even points. The following formula is used:- <u>Margin of safety</u> = Actual sales – Break even sales Or $\text{Margin of safety} = \frac{\text{profit}}{\text{P/V Ratio}}$ Margin of safety is that sales or output which is above the BEP. If the MS is large it is an indicator of the strengthens of business. Break Even chart: Graphical representation of breakeven point is known as break even chart. It is a graph showing the accounts of fixed variable costs and the sales revenue at different volumes of operation. It shows at what	4 ½		7																																				
		2 ½																																						

	volume the firm first covers all costs with revenue of break even.			
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MODEL QUESTION PAPER

Cost Accounting (Set – II)

PART: A

Time: 3 Hour

Max.Marks : 75

I. Answer all the questions in one word or one sentence

(9 x 1 = 9 Marks)

1	In chemical industries ----- costing is employed.	M1.01	R
2	The main purpose of cost accounting is to -----.	M1.02	R
3	Aggregate of prime cost and factory oncost is known as -----.	M2.03	R
4	Chargeable expenses form part of -----	M2.07	R
5	Aggregate of direct material cost ,direct labour cost and direct expense is known as -----	M2.03	R
6	Process costing is applied in those industries where production is -----	M3.01	R
7	In contract costing, the cost unit is -----	M3.05	R
8	Ratio between contribution and sales is known as -----.	M4.03	R
9	Fixed cost + profit = -----.	M4.04	R

PART: B

II. Answer any *Eight* questions from the following. Each questions carries 3 marks

(8 x 3 = 24 Marks)

1	Show the different classification of Overheads	M1.01	U
2	Explain the following terms: i. Indirect material ii. Indirect Labour	M1.01	R
3	Illustrate the advantages of preparing Cost Sheet.	M2.02	U
4	Summarize the items not included in Cost Sheet.	M2.03	R
5	Solve the following problem using appropriate costing method. Raw materials consumed Rs 30000 Productive wages Rs 18000 Machine hours worked 900 Administrative Overheads:- 20% on works cost Machine hour rate Rs.10/-	M2.03	A

6	Compute the cost of Raw materials purchased from the data given below: Opening stock of Raw materials Rs 10000 Direct wages Rs 50000 Closing stock of Raw materials Rs 15000 Prime Cost Rs 100000 Expenses on purchases Rs 5000	M2.03	U
7	Compare Job Costing and Process Costing.	M3.02	U
8	Show any three features of Contract Costing.	M3.05	U
9	Explain the meaning of the following:- i) Contribution ii) P/V ratio iii)Margin of Safety.	M4.03	U
10	Interpret the meaning of Cash Budget.	M4.07	U

PART: C

Answer all questions. Each question carries 7 marks. (6 x 7 = 42 Marks)

III	Summarize the limitations of Cost Accounting	M1.01	U				
	OR						
IV	Classify cost on the basis of Function	M1.03	U				
V	A company has received an enquiry about 10,000 steel folding chairs. The cost are estimated as follows:- <table><tr><td>Raw materials consumed</td><td>1,00,000 Kg @ Re.1/Kg</td></tr><tr><td>Direct wages</td><td>10,000 hours@ Rs 4/hr</td></tr></table> <u>Variable Overheads:</u> Factory Rs 2.4/ Labour hour Selling and Distribution Rs.16000/- <u>Fixed overheads:</u> Factory Rs 6000/- Selling and distribution Rs 14000/- Prepare a statement showing the price to be fixed which will result in a profit of 20% on the selling price. OR	Raw materials consumed	1,00,000 Kg @ Re.1/Kg	Direct wages	10,000 hours@ Rs 4/hr	M2.03	A
Raw materials consumed	1,00,000 Kg @ Re.1/Kg						
Direct wages	10,000 hours@ Rs 4/hr						

VI	The net profit shown by financial accounts of a company amounted to Rs 285500/- while the profits as per cost accounts for that period were Rs 388600/-.On reconciliation the following differences were noticed: a) The following items were included in the financial books: Directors fees(Dr) Rs 6500/- Bank interest (Cr) Rs 300/- Income Tax(Dr) Rs 83000/- b) Bad and doubtful debts for Rs 5700/- were written off in financial books c) Overheads in cost accounts absorbed were Rs 85000/- while the actual were Rs 83200/- d) A net loss of Rs 10000/- on sale of old machinery was dealt with in the financial books Reconcile the profit between Cost and Financial accounts.	M2.03	U																									
VII	Product X requires three distinct processes and after the third process the product is transferred to finished stock. You are required to prepare various Process accounts from the following information: <table style="width: 100%; border-collapse: collapse;"><thead><tr><th></th><th>Total(Rs)</th><th>P1</th><th>P2</th><th>P3</th></tr></thead><tbody><tr><td>Direct materials</td><td>5000</td><td>4000</td><td>600</td><td>400</td></tr><tr><td>Direct labour</td><td>4000</td><td>1500</td><td>1600</td><td>900</td></tr><tr><td>Direct expenses</td><td>800</td><td>500</td><td>300</td><td>--</td></tr><tr><td>Production Overheads</td><td>6000</td><td>--</td><td>--</td><td>--</td></tr></tbody></table> Production overheads to be allocated to different processes on the basis of 150% of direct wages. Production during the period was 200 units. Assume there is no opening or closing stock . OR		Total(Rs)	P1	P2	P3	Direct materials	5000	4000	600	400	Direct labour	4000	1500	1600	900	Direct expenses	800	500	300	--	Production Overheads	6000	--	--	--	M3.03	U
	Total(Rs)	P1	P2	P3																								
Direct materials	5000	4000	600	400																								
Direct labour	4000	1500	1600	900																								
Direct expenses	800	500	300	--																								
Production Overheads	6000	--	--	--																								
VIII	The product of a manufacturing company passes though two process A and B and then to finished stock. It is ascertained that in each process 5% of the total weight put in is lost and 10% is scrap which realized Rs 80 per ton and Rs 200 per ton respectively. The process figures are as follows: <table style="width: 100%; border-collapse: collapse;"><thead><tr><th></th><th>Process A</th><th>Process B</th></tr></thead><tbody><tr><td>Material consumed in tons</td><td>1000</td><td>70</td></tr><tr><td>Cost per ton in Rs</td><td>125</td><td>200</td></tr><tr><td>Wages in Rs</td><td>18000</td><td>12000</td></tr><tr><td>Manufacturing expenses in Rs</td><td>6000</td><td>5000</td></tr></tbody></table> Prepare Process accounts showing the cost of the output of each process and the cost per ton.		Process A	Process B	Material consumed in tons	1000	70	Cost per ton in Rs	125	200	Wages in Rs	18000	12000	Manufacturing expenses in Rs	6000	5000	M3.03	U										
	Process A	Process B																										
Material consumed in tons	1000	70																										
Cost per ton in Rs	125	200																										
Wages in Rs	18000	12000																										
Manufacturing expenses in Rs	6000	5000																										

IX	A product process through two distinct processes A and B then to finished stock. The normal wastage of each process A-3%, B-5%. Scrap value-Process A -50 paise /unit, Process B-Re.1/unit. 10000 units were issued to process A at a cost of Rs 2/unit. The other expenses were as follows: <table><tr><td></td><td>Process A</td><td>Process B</td></tr><tr><td>Materials</td><td>20003000</td><td></td></tr><tr><td>Labour</td><td>10000</td><td>16000</td></tr><tr><td>Overhead expenses</td><td>2100 2375</td><td></td></tr><tr><td>Actual output</td><td>9500</td><td>9100</td></tr></table> Prepare Process Accounts OR		Process A	Process B	Materials	20003000		Labour	10000	16000	Overhead expenses	2100 2375		Actual output	9500	9100	M3.03	U													
	Process A	Process B																													
Materials	20003000																														
Labour	10000	16000																													
Overhead expenses	2100 2375																														
Actual output	9500	9100																													
X	Kerala Chemicals Ltd manufactures and sells their chemicals produced by consecutive processes. The products of these processes are dealt with as under: <table><tr><td>P1</td><td>P2</td><td>P3</td><td></td></tr><tr><td>Transferred to next process</td><td>75%</td><td>50%</td><td>-</td></tr><tr><td>Sent to warehouse for sale</td><td>25%</td><td>50%</td><td>100%</td></tr></table> In each process 2% of total weight put in is lost and 10% is scrap which from Process I and 2 realized Rs 100 per ton and from Process 3- Rs 20 per ton. <table><tr><td>Raw materials</td><td>120000</td><td>28000</td><td>107840</td></tr><tr><td>Input</td><td>1000 ton</td><td>140 ton</td><td>1348 ton</td></tr><tr><td>Manufacturing expenses</td><td>20500</td><td>18520</td><td>15000</td></tr><tr><td>General expenses</td><td>10300</td><td>7240</td><td>3100</td></tr></table> Apply suitable methods of costing to solve the problem.	P1	P2	P3		Transferred to next process	75%	50%	-	Sent to warehouse for sale	25%	50%	100%	Raw materials	120000	28000	107840	Input	1000 ton	140 ton	1348 ton	Manufacturing expenses	20500	18520	15000	General expenses	10300	7240	3100	M3.03	A
P1	P2	P3																													
Transferred to next process	75%	50%	-																												
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Input	1000 ton	140 ton	1348 ton																												
Manufacturing expenses	20500	18520	15000																												
General expenses	10300	7240	3100																												
XI	XYZ Ltd wishes to prepare an appropriate budget from July to September 2013. Prepare a suitable budget for the above period from the following information: <table><tr><td></td><td>Sales(Rs)</td><td>Purchase(Rs)</td><td>wages(Rs)</td></tr><tr><td>June</td><td>240000</td><td>180000</td><td>26000</td></tr><tr><td>July</td><td>260000</td><td>190000</td><td>27500</td></tr><tr><td>August</td><td>200000</td><td>144000</td><td>22500</td></tr><tr><td>September</td><td>180000</td><td>150000</td><td>23000</td></tr></table> 1) 50% of the sales are for cash and 50% for credit. The credit sales are realized in the month following sale 2) Creditors are paid in the month following the month of purchase		Sales(Rs)	Purchase(Rs)	wages(Rs)	June	240000	180000	26000	July	260000	190000	27500	August	200000	144000	22500	September	180000	150000	23000	M4.07	A								
	Sales(Rs)	Purchase(Rs)	wages(Rs)																												
June	240000	180000	26000																												
July	260000	190000	27500																												
August	200000	144000	22500																												
September	180000	150000	23000																												

	3) Plant costing Rs 20000 is to be purchased in July, 50% of the same is paid in the month and remaining 50% in the next month. 4) Cash balance on Ist July is Rs 8000/- OR		
XII	Illustrate the application of Marginal Costing	M4.04	U
XIII	From the following information, find out the amount of profit earned during the year using Marginal Cost technique: Fixed cost Rs 500000 Variable cost Rs 10/unit Selling Price Rs 15/unit Output level 150000 units OR	M4.05	A
XIV	You are required to calculate Break- Even Point in the following case: The fixed cost for the year is Rs 80000/- , Variable cost per unit for the single product being made is Rs 4/- Estimated sales for the period are valued at Rs 200000/-. The number of units involved coincides with the expected volume of output. Each unit sells at Rs 20/- Calculate BEP by applying important formulae.	M4.05	U

Question wise Analysis

Course: COST ACCOUNTING

SET 2

Qn.No.	Module Outcome	Cognitive Level	Marks	Time
I.1	M1.01	R	1	1Mts
I.2	M1.02	R	1	1Mts
I.3	M2.03	R	1	1Mts
I.4	M2.07	R	1	1Mts
I.5	M2.03	R	1	1Mts
I.6	M3.01	R	1	1Mts
I.7	M3.05	R	1	1Mts
I.8	M4.03	R	1	1Mts
I.9	M4.04	R	1	1Mts
II.1	M1.01	U	3	9 Mts
II.2	M1.01	R	3	9 Mts
II.3	M2.02	U	3	9 Mts
II.4	M2.03	R	3	9 Mts
II.5	M2.03	A	3	9 Mts
II.6	M2.03	U	3	9 Mts
II.7	M3.02	U	3	9 Mts
II.8	M3.05	U	3	9 Mts
II.9	M4.03	U	3	9 Mts
II.10	M4.07	U	3	9 Mts
III	M1.01	U	7	16.5Mts
IV	M1.03	U	7	16.5Mts
V	M2.03	A	7	16.5Mts
VI	M2.03	U	7	16.5Mts
VII	M3.03	U	7	16.5Mts
VIII	M3.03	U	7	16.5Mts
IX	M3.03	U	7	16.5Mts
X	M3.03	A	7	16.5Mts
XI	M4.07	A	7	16.5Mts
XII	M4.04	U	7	16.5Mts
XIII	M4.05	A	7	16.5Mts
XIV	M4.05	U	7	16.5Mts

Mark Distribution

Module	Hr/module	Marks/Module ($H_i/\sum H_i$)*123($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No. of questions	Marks	No. of questions	Marks	No. of questions	Marks	No. of questions	Marks
I	13	22	2	2	2	6	2	14	6	22
II	16	29	3	3	4	12	2	14	9	29
III	15	36	2	2	2	6	4	28	8	36
IV	16	36	2	2	2	6	4	28	8	36
Total	60	123	9	9	10	30	12	84	31	123

Blue Print Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	15	12
Understanding	77	63
Applying	31	25
Analysing	--	--
Evaluating	--	--
Creating	--	--
TOTAL	123	100

SCHEME OF VALUATION (SCORING INDICATIONS)

Set II

		Split	Sub	Total
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	COURSE TITLE: 2. COST ACCOUNTING	up score	total	
I	Part :A			
1)	Process Costing	1		
2)	Control the cost	1		
3)	Factory cost	1		
4)	Prime cost	1		
5)	Prime cost	1		
6)	Continuous	1		
7)	Per contract	1		
8)	P/V ratio	1		
9)	Contribution	1		9
II	Part -B			
1)	Classification of overheads <u>Factory overheads</u> :Those expenses which are incurred in the factory <u>Office/Administrative overheads</u> : Indirect expenditure incurred in formulating policies, planning and controlling the functions etc. <u>Selling overheads</u> : This is the cost of promoting sales and retaining customers <u>Distribution overheads</u> . All expenditure incurred from the time the product is completed until it reaches its destination	3/4 3/4 3/4 3/4	3	
2	<u>Indirect material</u> : are those materials which cannot be traced as a part of the product and which cannot be allocated but which can be apportioned to or absorbed by cost centres or cost unit <u>Indirect Labour</u> : Labour whose wages cannot be allocated but which can be apportioned to or absorbed by cost centers or cost unit is known as indirect labour	1 1/2 1 1/2	3	
3	<u>Advantages of Preparing cost sheet</u> i)It discloses the total cost and cost per unit of the product ii)It helps in fixing up the selling price ii)Helps to keep a close watch and control over the cost of production iv)Helps to minimize the cost of production v)Act as a guide to the manufacture and helps in formulating a definite useful production policy vi)By comparing the current figures with past results and standard cost, it is possible to detect any inefficiencies requiring attendance of the management (Any 4 points only)	3/4 3/4 3/4 3/4 3/4 3/4	3	
4)	<u>Items not included in cost sheet</u> i)Pure financial expenses ii)Writing off fictitious assets iii)Appropriation of profits iv)Pure financial incomes	3/4 3/4 3/4 3/4	3	
5	<u>Calculation of cost of production</u> i)Prime cost =48000/- ii)Works cost =57000/- iii)Cost of production = 68400/-	1 1 1	3	
6	Raw material purchased = Opening stock + purchases + carriage in ward – closing stock =10000+purchase+5000-15000	1 1/2		

	Purchase of R.M Prime cost = Purchase of RM+D.L +DE $100000 = \text{Purchase of RM} + 50000$ $\text{Purchase of RM} = 100000 - 50000$ $= 50000$	1 ½	3	
7	<u>Job Costing</u> i) Production is against customers specification ii) Each job is different from the other iii) Cost are accumulated for each job <u>Process costing</u> i) Production is continuous ii) All units produced are identical iii) Cost are accumulated for each process for a period (Any three points)	1x3	3	
8	<u>Features of contract costing</u> i) The work is executed at the customer's site and not in the factory ii) When compared to jobs, contracts take a longer time for completion iii) Work is undertaken as per the requirements of the customer (Any three points)	1 1 1	3	
9	<u>Contribution:</u> It is the difference between the sales and marginal cost of sales and it contributes towards fixed cost and profit $\text{Contribution} = \text{sales} - \text{marginal cost}$ Or $\text{Contribution} = \text{Fixed cost} + \text{profit}$ <u>P/V Ratio:</u> This ratio establishes the relationship between contribution and sales. $\text{P/V ratio} = \frac{\text{contribution}}{\text{sales}} \times 100$ <u>Margin of safety:</u> is that sales or output which is above the breakeven point $\text{Margin of safety} = \frac{\text{profit}}{\text{P/V ratio}}$	1 1 1	3	
10	Cash budget :- Cash budget is the most important of all the functional budgets. It is prepared only after all the other functional budgets are prepared. It is the device to plan for and control the use of cash. It is a statement showing estimated cash inflows and cash outflows over the budget period. Thus it shows the periodical cash position		3	30
Part – C				
III	<u>Limitation of cost accounting</u> 1) It lacks uniformity 2) It has only a limited use in projecting future costs 3) It does not give readymade solutions to managerial problems 4) Computation of cost depends on the purpose 5) Cost accounting is not suitable to trading concerns 6) Cost accounting system is more complex 7) Cost accounting is based on assumptions and presumptions (Any Seven points)		1x7	7
IV	<u>Classification of cost on the basis of functions</u>			

	1)Production / Factory cost 2)Administrative / office cost 3)Selling cost 4)Distribution cost	1 ½ 2 2 1 ½		7
V	Prime cost = Rs.1,40,000 Factory cost = Rs.1,70,000 Total cost = Rs.2,00,000 Profit =Rs.50,000 Sales = Rs.2,50,000	1½ 1½ 1½ 1 1½		7
VI	Bank Reconciliation statement Profit as per cost accounts 3,88,600 Add:- 300 <u>2,100</u> Add:- (85000-83200)1800 3,90,700 Less:6500 Less:83000 Less:5700 Less:10000 <u>1,05,200</u> Profit as per financial accounts <u>2,85,500</u>	3 4		7
VII	Process I Account D. Material 200 (unit) – Rs.4000 Process II (transfer) 200(unit) Rs.8250 Production overheads (150% of 1500) Rs.2250 Process II Account Process I A/C (Transfer) 200 (units) – Rs.8250 Production overheads (150% of 1600/-) Rs.2400 Process III A/C (Transfer) – 200 (units) Rs.13150 Process III Account Process II A/C (Transfer) 200(units) – Rs.13150 Production overhead (150% of 900) Rs.1350 Finished stock A/C – 200 (Units) – Rs.15800	2 3 2		7
VIII	Process A A/C Material 1000(ton) Rs.125000 Loss in weight (5% of 1000 ton) – 50(ton) Rs.2000 Scrap sold (10% of 1000 ton)- 100(ton) – Rs.8000 Process B- 850 (units) – Rs.141000 Process B A/C Process A A/C 850 (units) – Rs.1,41,000 Loss in weight (5% of 920 unit) 46 (ton) value zero Scrap sold (10% of 920 unit) 92 (ton) – Rs.18400 Finished stock 782 (unit) –Rs.153600	3 ½ 3 ½		7
IX	Process A A/C Material 10000 (unit) – Rs.30000 Normal Loss 300(unit) –Rs.150 Abnormal loss 200 (unit)-Rs.700 Transfer to process B A/C – 9500 (units =Rs.33250 Process B A/C Transfer from process A 9500 (unit) – Rs.33250 Abnormal gain – 75 (unit) – Rs.450 Normal loss – 475 (unit) – Rs.475	3 ½ 3 ½		7

	Transfer to finished stock – 9100 (unit) – Rs.54600			
X	Process I Account Input of raw material – 1000 (unit) – Rs.120000 Waste – 20 (unit) – Rs.Nil Normal loss – 100 (unit) – Rs.10000 Transfer to warehouse (25%) -220 (unit) – Rs.35200 Transfer to process II (75%) – 660 (unit) – Rs.105600 Process II Account Transfer from process I – 660 (unit) – Rs.105600 Waste – 16 (unit) – Rs.Nil Normal loss – 80 (unit) Rs.8000 Transfer to warehouse 352 (unit) – Rs.75680 Transfer to process III (50%) – 352 (unit) Rs.75680 Process III Account Transfer from process II – 352 (unit) Rs.75680 Waste – 34 unit – Rs.Nil Normal loss – 170 (unit) – Rs.3400 Transfer to warehouse (100%) – 1496 (unit) – Rs.198220	2 		

XIII	Contribution = Selling price – Marginal cost Rs.2250000 – 1500000 =Rs.7,50,000 Contribution = Fixed cost + profit Rs.750000 = 500000 + profit Rs.750000 - 500000 = profit Profit = Rs.250000			7																		
XIV	<table><tr><td></td><td>Per unit (Rs.)</td><td>Total (Rs.)</td></tr><tr><td>Sales</td><td>20</td><td>200000</td></tr><tr><td>Variable cost</td><td><u>4</u></td><td><u>40000</u></td></tr><tr><td>Contribution =</td><td>16</td><td>160000</td></tr><tr><td>Fixed cost</td><td></td><td><u>80000</u></td></tr><tr><td>Profit</td><td></td><td><u>80000</u></td></tr></table> 1)Sales at BEP BEP = <u>Fixed cost * sales</u> Sales - variable cost = <u>80000 x 200000</u> 200000 – 40000 = <u>Rs.100000</u> 2) BEP in units: - <u>B.E. Sales</u> = <u>100000</u> = 5000 unit Selling price 20 Or <u>Fixed cost</u> = <u>8000</u> Selling price- variable cost 20-4 = <u>5000 units</u>		Per unit (Rs.)	Total (Rs.)	Sales	20	200000	Variable cost	<u>4</u>	<u>40000</u>	Contribution =	16	160000	Fixed cost		<u>80000</u>	Profit		<u>80000</u>			7
	Per unit (Rs.)	Total (Rs.)																				
Sales	20	200000																				
Variable cost	<u>4</u>	<u>40000</u>																				
Contribution =	16	160000																				
Fixed cost		<u>80000</u>																				
Profit		<u>80000</u>																				